

We also looked at Account receivables (how large and changes in the same).

We then took a look at the Inventory and the questions regarding that.

We then moved on to Accounts Payable, after which we moved on to Unbilled Revenues and then Advance from Customers.

Lastly, we looked at Prepaid Expenses and Accrued Expenses.

Practice is the key to you becoming comfortable with these numbers and identifying analytical trends. It is important to analyze different companies as they will have different items that are prominent.

With this, we complete the Operating Working Capital. In the next section, we will discuss Financing Working Capital.